Even if this more positive perception about the future of the yuan bears out, it might still be far from being accepted as a global reserve currency at par with the dollar. For that to happen, China will have to meet some demanding preconditions. In particular, the world must become confident that the Chinese authorities will allow the yuan exchange rate to be freely market determined. It will take at least a few years for the Chinese to establish credibility in this regard. Further, the yuan should become fully convertible on the capital account and it is still a far way from that. Also, the financial markets of China should inspire the confidence of global investors about being open, deep, liquid, and credibly and predictably regulated. This too will take time.

Beyond the above preconditions, there is another requirement too. For any currency to be a global reserve, there should be ample amounts of it floating around in global financial markets. The dollar meets this requirement, as the Americans facilitate this by running a consistent trade deficit—a phenomenon that textbook economics call ‘the Triffin Paradox’. This is the logic behind the American claim that the dollar being the global reserve currency is not an ‘exorbitant privilege’, as it is made out to be but, in fact, an exorbitant obligation on them. It is not clear that the Chinese are willing to take on a similar obligation.

Money, as we know, has three functions: it is a unit of account; a medium of exchange; and a store of wealth. A global reserve currency should meet these three criteria at the international level. The yuan is surely a unit of account and a medium of exchange, but far way yet from being a store of wealth.

My own view, from what I gathered from hearing the Chinese authorities both in formal meetings and informal conversations, is that they will promote the use of the yuan in international trade and finance, but are quite agnostic about whether it will actually become a reserve currency.